

Which of the following is/are the component/s of business?

- ▶ Industry
- ▶ Commerce
- ▶ Both industry and commerce
- ▶ Trade and aids to trade

The notice calling the annual general meeting must be given to all its members at least _____ days before the date of the meeting.

- ▶ 21 days
- ▶ 30 days
- ▶ 45 days
- ▶ 51 days

Communicating information between sellers and potential buyers or others in the channel to influence attitudes and behavior is called _____.

- ▶ Advertising
- ▶ Promotion
- ▶ Publicity
- ▶ Marketing

A product can be:

- ▶ Tangible
- ▶ Intangible
- ▶ Something that is offered for sale
- ▶ All of the given options

The portion of capital kept at the winding up of a company for the payment of debts is known as:

- ▶ Reserve capital
- ▶ Issued capital
- ▶ **Subscribed capital**
- ▶ Authorized capital

Which of the following statements is false?

- ▶ Franchising is very common.
- ▶ A franchise enables one to use a larger company's trade name.
- ▶ **A franchisee never has to pay the franchiser a percentage of sales revenues.**
- ▶ A franchise may constrain the franchisee's independence.

Business success can be attributed to:

- ▶ Luck.
- ▶ Hard work, drive and dedication.
- ▶ A high demand for the good or service produced.
- ▶ **All of the given options**

A concept that implies that the firm should consider issues such as protecting the consumer, paying fair wages, maintaining fair hiring practices, supporting education, and considering environmental issues is:

- ▶ Financial management
- ▶ Profit maximization

- ▶ Social responsibility
- ▶ Agency theory

The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work.

However, critics of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

- ▶ Legal but not valid
- ▶ Valid but not reliable
- ▶ Reliable but not valid
- ▶ Reliable but not legal

_____ is the process used by organizations to attract a qualified pool of job applicants.

- ▶ Socialization
- ▶ Human resource planning
- ▶ Recruitment
- ▶ Affirmation action

Profit sharing, gain sharing and pay-for-knowledge plans are examples of:

- ▶ Individual incentives
- ▶ Company-wide incentives
- ▶ Cafeteria benefit plans
- ▶ Merit salary systems

Which of the following statements is NOT true about services?

- ▶ They are experienced, used or consumed.
- ▶ They are often sold first, then consumed.
- ▶ They are perishable.
- ▶ They are tangible.

Possession utility is provided when:

- ▶ A good or service is obtained and there is a right to use or consume it.
- ▶ A product is available where someone wants it.
- ▶ Someone performs a task for someone else
- ▶ Someone produces something tangible

_____ includes all of the activities managers engage in to forecast their current and future human resource needs.

- ▶ Recruitment and selection
- ▶ job analysis and job design
- ▶ Selection and job design
- ▶ Human resource planning

Specifications of a product relate to the:

- ▶ Physical characteristics and level of quality
- ▶ Types of service that are provided along with the product
- ▶ Financing available with the product
- ▶ Types of competitors offering a similar product

Consumer goods are classified as convenience, shopping, and:

- ▶ Durable.

- ▶ Nondurable.
- ▶ Consumer.
- ▶ **Specialty.**

The stage of the Product life cycle where competitors appear is:

- ▶ Introduction
- ▶ Decline
- ▶ **Maturity**
- ▶ growth

The financial statement which shows cash activity (receipts and disbursements) during the accounting period is called a(n):

- ▶ Bank statement.
- ▶ Income statement.
- ▶ **Statement of cash flows.**
- ▶ Bank reconciliation.

Which of the following regarding AAP is true?

- ▶ AAP is the body of accounting knowledge followed by all countries in the world.
- ▶ AAP is the abbreviation for generally accepted auditing procedures.
- ▶ Changes to AAP must be approved by the Senate Finance Commission.
- ▶ **All of the given options.**

The inventory cost flow assumption where the oldest cost of inventory items is likely to remain on the balance sheet is_____

- ▶ All of the given options.
- ▶ FIFO
- ▶ LIFO
- ▶ Average

Which of the following would generally have unlimited liability?

- ▶ A limited partner in a partnership
- ▶ A shareholder in a corporation
- ▶ The owner of a sole proprietorship
- ▶ A member in a limited liability company (LLC)

Expectations that specify the role of price in a firm's marketing and strategic plans are:

- ▶ Pricing considerations
- ▶ Pricing guidelines
- ▶ pricing objectives
- ▶ Pricing policies

Setting the highest initial price is called price:

- ▶ Penetration
- ▶ ouging
- ▶ Parity
- ▶ Skimming

Which type of sales promotion is used when a manufacturer places one small bottle of shampoo in a clear bag and hangs it from the door of each house in a neighborhood?

- ▶ A sample
- ▶ A deal
- ▶ A premium
- ▶ An introductory offer

The activities and processes used in making both tangible and intangible products is known as _____.

- ▶ Operations.
- ▶ None of the given options
- ▶ Making
- ▶ Production.

Under which cost flow assumption is the ending inventory composed of the earliest purchased merchandise?

- ▶ FIFO
- ▶ LIFO
- ▶ Average cost
- ▶ Specific identification

The preferred method for achieving total quality in process output is to:

- ▶ Rely on a team of highly trained and dedicated inspectors.
- ▶ Rely on operator self-inspection and self-correction.

- ▶ Build and install an error-proof process and maintain it.
- ▶ Perform inspection at the next process.

What is data?

- ▶ All of the facts that are collected, stored, and processed by an information system.
- ▶ All of the debit and credit information about each transaction.
- ▶ The same thing as information.
- ▶ **All of the given options.**

Which of the following is defined as large scale information system used for organizing and managing a firm's processes across product lines, departments and geographic locations?

- ▶ Expert System
- ▶ Decision Support System
- ▶ **Enterprise Resource Planning**
- ▶ Electronic Data Interchange

The situation when a country imports more than its exports is:

- ▶ **A trade surplus.**
- ▶ A recession.
- ▶ A trade deficit.
- ▶ An expansion.

The marketing environment is BEST described as being Composed of controllable

- ▶ variables.
- ▶ Composed of variables independent of one another.
- ▶ An indirect influence on marketing activity.
- ▶ **Dynamic and changing.**

Which one of the following statements by a company chairman best reflects the marketing concept?

- ▶ We believe that the marketing department must organise to sell what we produce.
- ▶ We try to produce only high quality, technically efficient products.
- ▶ We try to encourage company growth.
- ▶ **We have organised our business to make certain that we satisfy customer needs.**

Which of the following statements is most suitable for Quality assurance?

- ▶ It refers to the prevention of product defects
- ▶ It is an auditing function that provides feedback to the project team and client about the quality of output being produced
- ▶ It is the technical process that includes the construction of control charts
- ▶ **None of the given options**

Which of the following is considered as the pillar of quality?

- ▶ Quality is free
- ▶ Doing it right the first time
- ▶ **Process improvement**

- ▶ None of the given options

A person needs to buy a medicine in midnight and gets it from a pharmacy, the availability of medicine in the midnight represents following

- ▶ Time utility
- ▶ Form utility
- ▶ Place utility
- ▶ None of the given options

When Nayer Carpets develops new carpets that are highly stain resistant and durable, it must educate consumers about the product's benefits. This calls for activity in which of the following marketing mix variables?

- ▶ Price
- ▶ Promotion
- ▶ Product
- ▶ Packaging

The three major categories of influences that are believed to influence the consumer buying decision process are personal, psychological, and:

- ▶ Person-specific
- ▶ Social
- ▶ Demographic
- ▶ Situational

Nestle yoghurt represents which type of product for most consumers?

- ▶ Convenience

- ▶ Shopping
- ▶ Speciality
- ▶ Unsought

a metal cutting machine. What you have purchased can best be classified as a processed

- ▶ component.
- ▶ a component part.
- ▶ raw material.
- ▶ an industrial product.

Physical distribution functions influence

- ▶ primarily pricing and product decisions.
- ▶ primarily promotion and pricing decisions.
- ▶ all elements of the marketing mix.
- ▶ primarily pricing decisions.

All elements of the marketing mix are influenced by physical distribution functions. For this reason, it is important for marketers to remember that

- ▶ physical distribution decisions must be made prior to any other marketing strategy consideration.
- ▶ physical distribution costs often rise as customer service requirements decrease.
- ▶ over 75 percent of all marketing costs are associated with physical distribution expenditures.

► no single distribution system is ideal for all situations and target markets.

A fruit and vegetable wholesaler buys a loaded truck of strawberries from a local farmer and then divides them into 10 kg baskets to sell to grocery stores.

This sorting function is called:

- Allocation.
- assorting.
- accumulation.
- sorting out.

A product's ability that it cannot be used for various purposes in different capacities and under different conditions is termed as_____

- Flexibility of a product
- Inflexibility of a product
- Availability of a product
- All of the given options

Flow of communication from top to bottom is known as_____

- Downward communication
- Upward communication
- Combination of Downward and upward communication
- None of the given options

Auditors who are working within the organization are known as_____

- Internal auditors
- External auditors

- ▶ Both internal auditors and external auditors
- ▶ None of the given options

Assets which can not be physically touched are termed as _____

- ▶ **Intangible assets**
- ▶ Tangible assets
 - ▶ Good will
 - ▶ None of the given options

Profit and loss account is also termed as _____

- ▶ **Income statement**
- ▶ Balance sheet
- ▶ Trial Balance
- ▶ None of the given options

Which of the following are included in a business plan? Financial information, production plans,

- personal policies.
- Goals of the business and how they will be achieved.
- Market analysis
- **All of the given options.**

Which of the following is not a reason for a business failure?

- Managerial experience or inexperience
- Effective control systems

- Insufficient control system
- None of the given options

In which of the following two or more organizations collaborate on a project for mutual gain?

- Limited partnership
- Public corporation
- Strategic alliance
- None of the given options

The difference between a country's merchandise exports and its merchandise imports is the:

- Current account
- Capital account
- Balance of trade
- Balance of payments

One of the best solutions to get rid of non-biodegradable wastes is:

- Dumping
- Recycling

A plan or an estimate for future expenses and revenues is termed as _____

- ▶ Budgeting
- ▶ Balance sheet
- ▶ Income statement
- ▶ None of the given options

Which of the following must hold a statutory meeting?

- Statutory companies
- Private limited companies
- **Public limited companies**

Chartered companies

Which of the following is NOT included in aids to trade?

- **Insurance**
- Warehousing
- Transportation
- Foreign trade

The portion of capital kept at the winding up of a company for the payment of debts is known as:

- **Reserve capital**
- Issued capital
- Subscribed capital
- Authorized capital

Which of the following business type can avail some concessions from the government?

- Sole proprietorship
- Partnership
- Joint Stock company
- **Cooperative society**

While making financial projections in a business plan, which of these would NOT form part of the plan?

- Source of loan
- **Audit**
- Net income or profit
- Expected revenues

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According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

- Esteem
- **Security**
- Social
- Self-actualization

What is potentially the biggest advantage of a small partnership over a sole proprietorship?

- Unlimited liability
- Single tax filing
- Difficult ownership resale
- **Raising capital**

Which of the following is the oldest form of business organization?

- **Sole proprietorship**
- Partnership
- Company
- Cooperative society

Which of the following is an advantage of a corporation that is not an advantage as a limited partner in a partnership?

- Limited liability
- **Easy transfer of ownership position**
- Double taxation
- All of the given options are advantages that the corporation has over limited partner

Examples of constructive industries include:

- **Canals**
- Fishery
- Sugar mills

- Plant nurseries

Douglas McGregor is associated with which of the following?

- Scientific management
- Motivational factors
- Theory X and theory Y
- The Hawthorne studies

Which step in Maslow's Hierarchy of Needs Theory deals with achieving one's potential?

- Safety
- Self actualization
- Physiological
- Social

The term "Job Rotation": Is another term for employee empowerment?

- Involves allocating a wider range of similar tasks to individuals
- Involves giving employees work with a greater degree of responsibility and autonomy
- Means that staff is moved periodically from task to task in order to increase variety and interest.

Which of the following generic terms is not a management function?

- Leading
- Systemizing
- Planning

- Organizing

Increases in the degree of responsibility a worker has over his or her job is referred to as job:

- Empowerment
- **Enlargement**
- Enrichment
- Entitlement

ABC Company is currently hiring employees from different countries. ABC Company is said to be implementing _____ strategy.

- Decentralization
- Downsizing
- **Workforce diversity**
- Retrenchment

Which of the following statement shows the Trade Deficit process?

- **A process in which country imports are higher than the exports**
- A process in which country exports are equal to the exports
- A process in which country imports are less than the country exports
- All of the given options

Name of the business should:

- Be simple
- Indicates the type of business
- Be familiar

- All of the given options

Hormel Foods Corporation in the USA allows the Danish company Tulip International to produce and market SPAM for the UK market under its own name. What kind of market entry strategy is Hormel using?

- Licensing
- Joint venturing
- Contracting
- Franchising

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Questions:

- Explain the nature and general purpose of financial statements.
- What do you mean by the term “utility”? What are the different forms of utility?
- Describe the steps involved in designing an advertising campaign.
- Quality costs are the costs associated with preventing, finding and correcting defective work. Describe the various types of quality costs in detail.
- Explain how companies find and develop new-product ideas
- Write a detailed note on the following:
 - 1) Balance sheet
 - 2) Income statement
- What is meant by the term ‘Just-in-Time’ Inventory system?
- Explain product life cycle in detail.
- Explain the terms “Brand Equity” and “Brand Awareness”.
- Define the term “Enterprise Resource Planning”.
- What is meant by the term ‘Just-in-Time’ Inventory system?
- Define liabilities and distinguish between current and long-term liabilities.
- What steps are involved in buying decision process?
- Define channel of communication, discuss different types of channels of business communication.
- What is meant by “Physical Distribution”? What are the different transportation modes used for physical distribution of products?

- Define sales promotion and describe its methods.
- Define information system and discuss the types of information systems used in the organizations
- Consumer products can be categorized on the basis of shopping habits. Explain this classification with examples.
- Differentiate between push and pull strategies for promotion.
- Define the term “Material Management”. What are the problems faced by materials managers in today’s world?
- In order to offer more satisfactory services, many companies have discovered criteria that customers use to judge service quality. What is this criterion in perspective to company?
- Marketers operate in an increasingly connected world and environment continues to change at a rapid pace. Identify the major trends in the firm’s natural and technological environments.